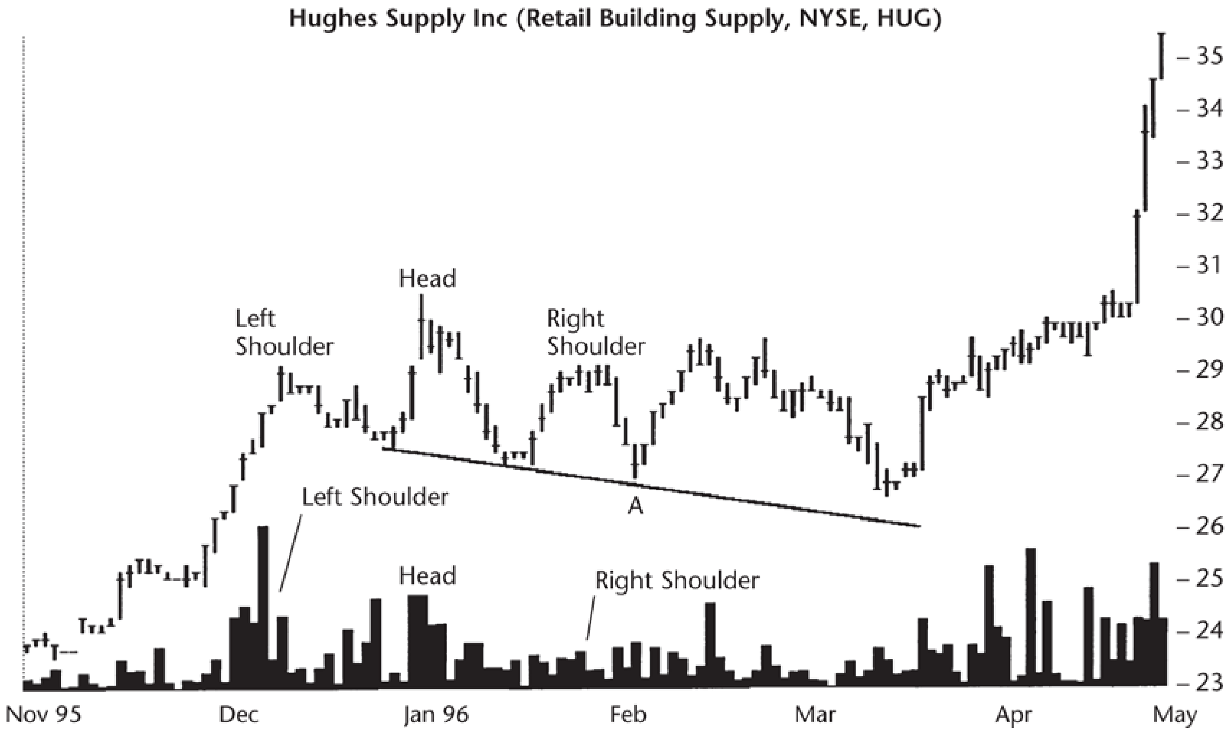

Figure 41.4 A rare head-and-shoulders consolidation. The pattern fails to continue down after reaching point A. Symmetry and volume patterns offer no clue to the eventual failure to confirm as a valid head-and-shoulders top.

Not shown in the figure, the prior two chart patterns were descending triangles. Both had upward breakouts, and both signaled a bullish uptrend. The two patterns were clues to the strength of the rise, but one could also argue that the appearance of a head-and-shoulders pattern might signal an end to the extended rise.

It did not.

This chart also shows an example of a down-sloping neckline that did not signal a trade entry this time (which is a good thing in this case). Using a close below the right armpit would serve as a better entry signal in most cases. The right armpit is at 9.09, and point A *closes* at 9.09. Technically that's not a close *below* the armpit, and it's certainly not below the neckline, so it doesn't trigger a breakout. However, the low in March has a closing price at 8.97, which is below the right armpit, so the breakout happens there. However, price does rise above the right shoulder between A and the March low, so I'd probably throw out the pattern because of that rise anyway.